23. What kind of standards are issued by the Accounting & Auditing Organization for Islamic Financial Institutions (AAOIFI)?
   A. Accounting and Auditing.
   B. Accounting, Auditing and Governance.
   C. Accounting, Auditing, Governance and Ethics and Shari'a.
   D. Accounting, Auditing, Governance and Shari'a.

24. All the following are the pillars of the Islamic contracts *except*:
   A. Legal capacity of contracting parties.
   B. Offer and acceptance.
   C. Suitable, known, and existing subject matter, with some exceptions for existence.
   D. Consideration.

25. In a Musharaka transactions; if an Islamic Bank's assets include Musharaka financing of US$5000,000; which of the following statement is correct:
   A. At the time of contracting, the bank provided cash to the amount of US$5,000,000
   B. At the time of contracting, the bank provided cash and assets in kind to the value of US$5,000,000; the assets in kind were measured at fair value of the assets
   C. The US$5,000,000 was not inclusive of the capital expenditure undertaken prior to commencement of the project.
   D. All of the above.

[TOTAL MARKS = 1 mark each x 25 = 25 Marks]

SECTION B – 35 MARKS

Question 1

a) Discuss the key criteria that should be applied when preparing financial statements for Islamic business organizations? ***(3 Marks)***

b) State three (3) Distinctions between Sukuk in Islamic Accounting and Bonds in Conventional Accounting ***(3 Marks)***

c) There are various types of Sukuk structures in Islamic Accounting and Banking Practice. State and explain any four (4) of these structures in practice. ***(4 Marks)***

d) State the four (4) main objectives of financial accounting as listed by the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) for the Islamic Financial Institutions (IFIs). ***(4 Marks)***

e) Explain the term Capital Adequacy Ratio (CAR) as used in Islamic Financial Institution pursuant to the provisions of the Basel Accord and state the minimum acceptable capital adequacy ratio as required by the Basel Accord. ***(2 Marks)***

f) The practice of Islamic Banking and Finance has relied heavily on the Basle Accord of the Basle Committee on Banking Supervision implemented since 1992, which sets out an agreed framework for measuring capital adequacy and the minimum standards to be achieved by the representative countries. As a newly employee in Back Operations of an Emirati Bank, state the two (2) main objectives intended by the Basel Accord Committee. ***(2 Marks)***

[18 Marks]

132,000

Question 2.

a) The Ghana Islamic Bank sold on a murabaha basis a house to Imam Ghazali at a mark-up of 8% per annum constant rate of return to be paid over 10 years in equal annual installments. The cost of the House was GH₵500,000 and Imam Ghazali paid GH₵100,000 as deposit. Ghana Islamic Banks follows Islamic Accounting Standards and recognized profits according to installments due. Imam Ghazali paid the installments for the first 2 years but was late in paying the 3rd installment by one month (which he paid together with the T'awid). The bank charged him a Ta'wid of GH₵100 which would be payable to charity. At the end of the 4th year, then His Eminence the National Chief Iman Sheikh Ousmanu Nuhu Sharubutu gifted Imam Ghazali, a bounty for has magnum opus "Ihya ulumuddeen" of GH₵600,000. The Imam Ghazali decided to redeem his house financing, keep a balance of GH₵100,000 for his expenses and give the balance as Sadaqah (charity) to achieve the pleasure of Allah. Ghana Islamic Bank gave him a full rebate on the unearned profits for the remaining period of the original Murabaha contract, which was redeemed on the last date of the 4th year. Imam Ghazali was able to give the intended amount of the Sadaqah (Charity) in Ramadhan as the moon was sighted on the last day of the 4th year of the murabaha contract.

Required:
   i) Using AAOIFI Accounting Recognition Method, determine the charity Imam Ghazali is to give.
   ii) Using IFRS Accounting Recognition Method, determine the charity Imam Ghazali is to give.
   iii) Explain the difference in results of IFRS and AAOIFI methods. ***(7 Marks)***

b) The following balances in the table below are included in the financial statement of Dar Al-Fatina Consulting Limited for the accounting year, ending 31st December, 2024

Particulars of Transactions	F	GH₵'000
Accounts payable		37,500
Accounts receivable		57,500
Accumulated depreciation - Office Equipment		70,000
Advertising expense		52,500
Cash & Bank Balances		132,000
Equity Share Capital		325,000
Depreciation expense		30,000
Dividends		37,500
Insurance expense		27,500
Debenture payable (due 2027)		275,000
Prepaid insurance		45,000
Rent expense		142,500
Retained earnings at 1st January 2024		59,000
Salaries expense		85,000
Salaries payable		17,500
Service Revenue		562,500
Stocks supplies		48,000
Stocks Supplies expense		25,000
Office Equipment		525,000
Investment		100,000

You are required to prepare:
   a) Income Statement for the year ended 31st December 2024 to determine the Net Income
   b) Classified Statement of Financial Position as at 31st December, 2024

(10 Mark
[17 Mar

12. Under the International Financial Reporting Standards (IFRS), at the end of an accounting period, held-for-trading sukuk will be valued at its fair value. The unrealized gains or losses from the re-measurement will be recognised

A. In the operating income.
B. In 'other comprehensive income' (OCI).
C. In 'investment fair value reserve'.
D. In the statement of financial position.

13. Identify the correct journal entries at the time of contracting the murabaha contract under the following scenario: An Islamic bank enters into a murabaha financing agreement for a plant at a cost of $300,000 and profit of $100,000. It has purchased the asset already.

A. Debit: Murabaha Financing; Credit: Equipment and Deferred Profit
B. Debit: Cash; Credit: Equipment and Deferred Profit
C. Debit: Murabaha Financing; Credit: Cash and Profit with the appropriate amounts
D. Debit: Murabaha Financing; Credit: Accounts Payable and Deferred Profit

14. The Muamalat component of the Sharia includes:

A. Commercial transactions only.
B. Commercial and marriage contracts.
C. Commercial, family, charitable, and hereditary laws.
D. Commercial, marriage, and charitable contracts as well as hereditary and criminal laws.

15. Which of the following is incorrect?

A. The contract of murabaha requires that the markup (profit) must be recognised equally over the murabaha contract period.
B. In murabaha financing, the selling price must be fixed without any hidden cost.
C. The contract of murabaha allows for early redemption with rebate on the unearned income.
D. Late payment charges levied by the bank are allowed by AAOIFI but should be given to the charity if directed by the Sharia committee and should not be compounded.

6. How does the Murabaha contract avoid Riba' elements:

A. It is a trade-based contract and thus any increase above the cost is justified as a profit element on the sale of the asset.
B. Murabaha only avoids Riba' al-fadhl when they buy and sell non-ribawi items.
C. Murabaha avoids Riba' by combining the contract with a collateral agreement.
D. Statements (b) and (c) are correct.

7. **Read the statements below and answer the question that follows**

An asset is anything that is capable of generating positive cash flows or other economic benefits in the future either by itself or in combination with other assets which the financial institution has acquired the right to as a result of past transactions or events. Although the capacity of the financial institution to control benefits is usually the result of legal rights, an item may nonetheless satisfy the definition of an asset even when there is no legal control. Based on the above statement which of the following is true:

A. The above statement reflects the definition of an asset in Islamic accounting.
B. The above statement contradicts the definition of an asset in Islamic accounting.
C. The above statement reflects the definition of forward sale contracts with an underlying asset in Islamic accounting.
D. The above statement contradicts the definition of forward sale contracts with an underlying asset in Islamic accounting.

Use the information below to answer Questions 18 to 22 as based on the Jordan Islamic Bank

Jordan Islamic Bank gave murabaha financing to Ahmad to purchase a house that cost the bank 200,000 dinars over a 10-year period. The mark-up was a constant rate of return of 10% per annum. The instalments are to be paid equally over the 10 years. The bank recognises profit equally over the period. Ahmad paid the instalments regularly for the first 4 years and at the end of the fifth year he redeemed the financing. Jordan Islamic Bank agreed to give Ahmad 80% of the unearned deferred profit at the end of year 5, after taking the full profit for year 5.

18. Which of the following is the correct entry on receipt of instalments of year 1, including recognition of profit?

A.	Dr Cash 40,000	Cr Murabaha Financing 40,000
	Dr Deferred Profit 30,000	Cr Profit and Loss 30,000
B.	Dr Cash 40,000	Cr Murabaha Financing 40,000
	Dr Deferred Profit 20,000	Cr Profit and Loss 20,000
C.	Dr Cash 40,000	Cr Murabaha Financing 40,000
	Dr Profit and Loss 20,000	Cr Deferred Profit 20,000
D.	Dr Murabaha Financing 40,000	Cr Cash 40,000
	Dr Profit and Loss 20,000	Cr Deferred Profit 20,000

19. Which of the following is the correct extract of the balance sheet of Islamic Bank of Jordan at the end of the **2nd year after the second instalment is paid?**

A. Murabaha Financing 200,000
B. Murabaha Financing 320,000
C. Musharaka Financing 320,000
D. Murabaha Financing 400,000

20. Which of the following is the correct extract of the income statement of Islamic Bank of Jordan at the end of the **1st year?**

A. Profit/(loss) from Murabaha Financing (20,000)
B. Profit/(loss) from Murabaha Financing 20,000
C. Profit/(loss) from Murabaha Financing 200,000
D. Profit/(loss) from Murabaha Financing 40,000

21. Which of the following shows the correct balance of Deferred Profit account of Islamic Bank of Jordan at the end of the 5th year after the payment of the 5th instalment but before redemption?

A. 80,000
B. 120,000
C. 100,000
D. 200,000

22. Which pair of the following figures shows the redemption amount (assume the instalments for the 5th year have been paid separately before redemption) and the **total** profit taken in the 5th year?

A. Redemption amount 120,000, Profit recognised for year 20,000
B. Redemption amount 200,000, Profit recognised for year 40,000
C. Redemption amount 200,000, Profit recognised for year 120,000
D. Redemption amount 120,000, Profit recognised for year 40,000

3. **Read the statements below and answer the question that follows.**
   - *The earnings process should be completed entitling the bank to the right to receive*
   - *Obligations arises on the part of the customer to remit fixed or determinable obligations*
   - *Amount received is known and if not collected is collectible with reasonable certainty*

   What do the above statements reflect?
   A. Revenue recognition principle
   B. Expenses recognition principles
   C. Provision recognition
   D. Debt recognition principles.

4. The Material Purchases Account at Dar Al Fatina shows the following transactions: Material purchased for cash AE$1,000, additional supplies purchased for cash AE$500, material purchased on credit AE$3,500. Dar Al Fatina paid AE$1,000 of the accounts payable. What is the Material Purchases account balance?
   A. AE$4,000
   B. AE$1,500
   C. AE$6,000
   D. AE$5,000

5. Which of the following statements about market values is not correct?
   A. Central to Islamic accounting is the use of current values for the correct computation of zakat.
   B. Current values, when measured accurately, contain more information than actual costs.
   C. Capital maintenance is an important driver of the choice of the valuation method adopted.
   D. The maintenance of nominal capital favours the use of current values.

6. Which of the following are considered internal users of accounting information?
   A. Creditors
   B. Investors
   C. Managers
   D. Zakat authorities

7. Which of the following statements is FALSE according to the Islamic Sharia?
   A. Charging or receipt of interest is strictly forbidden under the Islamic Sharia.
   B. Under Islam, the rights of private ownership are ultimately subordinated to God.
   C. People are not individually accountable for their actions during their lives on the Day of Judgement.
   D. The principle of khilafa requires individuals to be personally responsible for what is done with the resources entrusted to them.

. Identify the correct action of the Islamic bank in the following case study: Mr. Bilal made a binding promise to an Islamic bank that he would buy a van from the latter through a murabaha transaction. Based on that promise, the Islamic bank collected urboun of US$500 from him, and bought a van from a vendor for US$30,000 in cash. After the van was delivered to the Islamic bank, Mr. Bilal decided not to buy it. The Islamic bank then sold the van to Jason in a forced sale, for US$29,800 in cash.
   A. The Islamic bank should return US$200 to Bilal
   B. The Islamic bank should return US$500 to Bilal.
   C. The Islamic bank should not return any money to Bilal.
   D. The Islamic bank should not return any money to Bilal but must pay US$200 to John as a gift to be thankful to John for being willing to buy the van.

9. Which accounting principle requires expenses to be matched against the revenues which they help to generate?
   A. Historical cost principle
   B. Accounting entity principle
   C. Expense recognition principle
   D. Matching principle

10. An Islamic Bank provides a Murabaha to the Purchase Orderer financing to Barakah Construction to purchase a specialized equipment to be used for Barakah Construction's business project. Financing is for US$500,000 at a constant rate of return of 10% for a period of 5 years. The annual installment payment is US$150,000. What is the Islamic Bank's journal entry at the start of the transaction in Year 1?

A		DR	CR
	Murabaha receivable		750,000
	Cash	500,000	
	Unearned Income	250,000	

B		DR	CR
	Murabaha receivable		500,000
	Cash	500,000	
	Unearned Income		-

C		DR	CR
	Murabaha receivable		500, 000
	Cash	500,000	
	Unearned Income		-

D		DR	CR
	Murabaha receivable	650,000	
	Cash		500,000
	Unearned Income		150,000

11. Which of the following statement(s) is/are TRUE about Sukuk?
   I. Sukuk are debt obligations due from the issuer to the investors.
   II. Sukuk are trust certificates.
   III. Sale of sukuk is basically the sale of a debt.
   IV. Funds raised using sukuk can be used for any purpose.
   V. Sale of sukuk represents sale of a share of a specified asset.
   A. I and II
   B. II and V
   C. II and III
   D. I and IV

ACCRA TECHNICAL UNIVERSITY
FACULTY OF BUSINESS
DEPARTMENT OF ACCOUNTING AND FINANCE
END OF FIRST SEMESTER EXAMINATION 2024/2025 ACADEMIC YEAR
BTECH ACCOUNTING & FINANCE ANALYTICS LEVEL 200 (FULL TIME)
BAT 211 ISLAMIC ACCOUNTING, AUDITING & BANKING PRACTICE

ATTEMPT ALL QUESTIONS **60 MARKS** **TIME: 3 HOURS**
READING & PLANNING 10 MINUTES

SECTION A – 25 MARKS

Each question is followed by four options lettered A to D. Choose only one answer for each question and write the letter and the answer in your answer booklet.

1. On June 10, 2024, Dar Al Hikma purchased material supplies on account for US$350,000 and the invoice was subject to 7.5% trade discount. Which of the journal entries for this transaction in the table below is correct?

A			
Date	Accounts and Explanation	DR	CR
June 10, 2024	Cash	350,000	
	Material Supplies		350,000
	Purchased supplies on account		
B			
Date	Accounts and Explanation	DR	CR
June 10, 2024	Material Supplies	350,000	
	Sales		323,750
	Purchased supplies on account		
C			
Date	Accounts and Explanation	DR	CR
June 10, 2024	Material Supplies	323,750	
	Accounts Payable		323,750
	Purchased supplies on account		
D			
Date	Accounts and Explanation	DR	CR
June 10, 2024	Material Supplies	323,750	
	Accounts Receivables		350,000
	Purchased supplies on account		

2. Under the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI), at the end of an accounting period, available for sale sukuk will be valued at its fair value. The unrealised gains or losses from the re-measurement will be recognised
   - A. In the operating income.
   - B. In 'other comprehensive income' (OCI).
   - C. In 'investment fair value reserve'.
   - D. In the statement of financial position.

Examiner: Ibrahim Zubairu (PhD)